MITSUBISHI HEAVY INDUSTRIES

TSE: 7011 | Gas turbines, nuclear, defence and space, aero engines, plants | Tokyo

Tommy Lau | 2 November 2026 | Initiation of coverage | Independent research

NO CALL	**Target price:** None (no call)	**Last price:** ¥3,363 (TSE close, 2 November 2026)	**Upside:** Base value ¥3,713 (+10%)

Mitsubishi Heavy's turbines are booked to 2030, and its buyers have paid ahead. At ¥3,363 the shares sit close to what both businesses are worth.

Mitsubishi Heavy Industries (MHI) is one of three makers of the largest gas turbines. My piece of 22 September argued that a data centre which builds its own power swaps the grid's queue for the turbine makers'. MHI's figures confirm it: about five years of gas turbine revenue on order, new talks for delivery around 2030 to 2031, prices not falling, buyers paying ahead.

But MHI also builds missiles, warships, military aircraft and rockets. On my estimates, gas turbine combined cycle (GTCC) is 46% of my value and Aircraft, Defense and Space 29%. At ¥3,363, after a 35% fall from the March record, the price pays about 16 times my fiscal 2027 GTCC profit with the rest at my base multiples, or about 12 times for defence with GTCC at 20 times.

My call: no call, medium conviction. My base sum of the parts is worth ¥3,713, up 10%, inside a range of ¥2,617 (down 22%) to ¥4,693 (up 40%). Most of MHI's net cash is customers' prepayments; counting it all as surplus would give ¥3,963. I would revisit below about ¥3,200.

Stock data

LAST PRICE
¥3,363, TSE close 2 November 2026, the lowest close since July 2025; record close ¥5,195 (2 Mar 2026)

MARKET VALUE
About ¥11.3 trillion on 3,361m shares outstanding, net of treasury shares (30 Jun 2026)

BALANCE SHEET, 30 JUN 2026
Cash ¥1,684bn, interest-bearing debt ¥520bn; contract liabilities ¥2,483bn, up ¥1,049bn since Mar 2025

FY2026 FORECAST (4 AUG 2026)
Orders ¥7,000bn; revenue ¥5,400bn; business profit ¥540bn (10.0%); EPS ¥113.09

GAS TURBINES (GTCC)
FY2025 orders ¥2,653bn, revenue ¥992bn; order book over ¥5tn; 80 large units on order (35 GW)

DEFENSE & SPACE
FY2026 forecast orders ¥1,500bn, revenue ¥1,250bn; Aircraft, Defense & Space backlog ¥3,898bn

CONSENSUS (STOCKANALYSIS.COM)
FY2026 EPS ¥134.68; average target ¥5,469 (17 analysts)

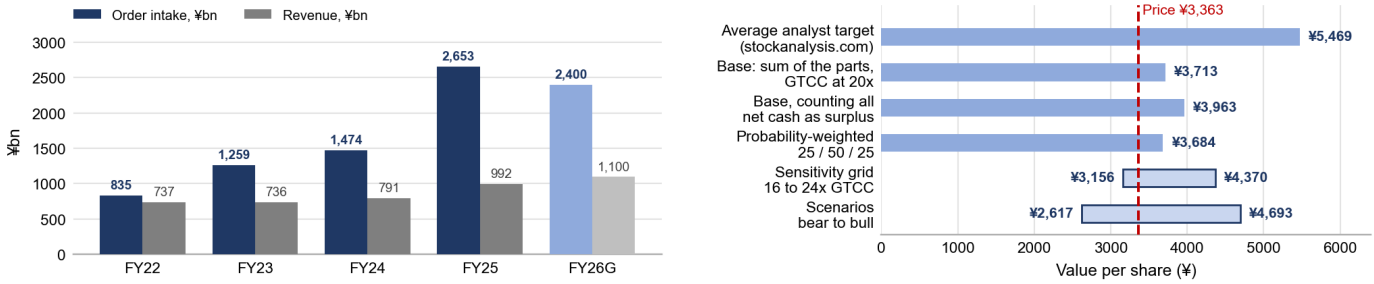
NEXT EVENT
1H FY2026 results, 6 November 2026, 13:30 JST (scheduled by MHI)

Key financials (fiscal years to March; business profit is MHI's operating measure)

¥bn	FY2024A	FY2025A	FY2026 forecast	FY2027E*
Order intake	6,405	7,654	7,000	
Revenue	4,361	4,974	5,400	
GTCC revenue	791	992	1,100	1,298
Defense & Space revenue	828	1,145	1,250	
Business profit	355	432	540	663
Business profit margin (%)	8.1	8.7	10.0	
Net income	245	332	380	466
EPS, ¥		98.86	113.09	138.76
P/E at ¥3,363 (x)		34.0	29.7	24.2

**FY2027E is my own estimate, not MHI's; FY2027E net income keeps the ratio of net income to business profit in MHI's FY2026 forecast. FY2024 and FY2025 exclude Mitsubishi Logisnext, deconsolidated on 1 May 2026. Sources: FY2025 results (12 May 2026), Q1 FY2026 results with the revised FY2026 forecast (4 August 2026).*

Two charts: the gas turbine queue in yen, and a valuation that sits a little above the price

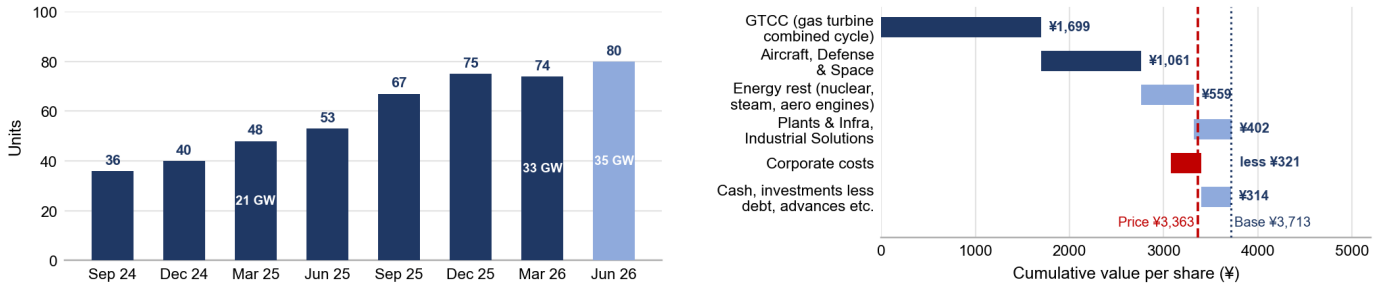


Left: GTCC order intake against revenue, FY2022 to the FY2026 forecast (MHI, FY2025 presentation p6; FY2026 as revised 4 August 2026). Right: value per share from the base case, the base with all net cash counted, the weighted cases, the sensitivity grid and the bear to bull range, against the ¥3,363 price (red) and the average analyst target.

The thesis: a drilling firm booked for years, inside a defence contractor

Think of the well from the piece. The council's water main is years away, so everyone on the street decides to sink a well, and the big drilling firm is booked for years. A buyer of that firm gets two things. Its revenue for the next few years is close to certain, because the diary is full. And each new booking is priced higher, because the diary is full.

MHI's GTCC business is that drilling firm. GTCC pairs a gas turbine with a steam turbine that runs on its waste heat. In fiscal 2025, the year to March 2026, GTCC took ¥2,653bn of orders against ¥992bn of revenue, 2.7 times. Its order book passed ¥5 trillion in March, about 5 years of that revenue. In the June quarter orders were ¥930bn against ¥275bn of revenue, 3.4 times. In units, MHI had 48 large turbines (above 100 MW) on order in March 2025 and 80, about 35 GW, in June 2026. It booked 35 in fiscal 2025 and ten in the June quarter, four for the United States.



Left: large frame gas turbines on order at period end, units; white figures are gigawatts where MHI states them. Sources: results presentations, 7 November 2025 to 4 August 2026. Right: my sum of the parts per share, built up part by part, against the price (red) and the base value (dotted).

The claim is about the length of the queue, and the finance chief, Hiroshi Nishio, gave it. According to MHI's summary of the briefing dated 6 August, projects now under discussion "will generally be delivered around 2030 to 2031", and orders booked in the June quarter are due mostly between 2028 and 2030. "Order pricing has not declined", he said, and the margin on new orders keeps improving. Buyers pay to stand in line: MHI doubled its fiscal 2026 free cash flow forecast to ¥600bn mainly because "advances received in GTCC have increased more than expected". Contract liabilities rose from ¥1,435bn in March 2025 to ¥2,483bn in June 2026. In May Nishio said customers pay in advance "to secure production slots".

MHI is not building its way out of the queue either. The chief executive, Eisaku Ito, said on 27 May that MHI aims to ship 30% or more units in fiscal 2028 than current capacity allows, and then about 50% more again, around twice the fiscal 2024 level. He gave no year for the second step, and the first comes mostly from more than 1,000 changes on the factory floor. In August Nishio said MHI books orders "while carefully monitoring progress on the capacity expansion".

The claim holds at a second maker. Lead times are not falling and new output is not clearing the backlog. I checked the piece's MHI sentences against MHI's Q&A summaries and presentations, and they stand. MHI adds one caution: Ito said world orders for gas turbines used in power reached 96 GW in 2025, but MHI expects about 70 GW a year on average over the next five years, about 10 GW above its earlier view of 50 to 60 GW. Ito still expects MHI's own unit orders to grow. GE Vernova said in July it sees heavy-duty supply and demand very balanced for six years, so the makers do not disagree; but MHI says aloud that 2025 may have been the peak for world orders.

The money shows up in margin. Energy Systems, which holds GTCC, earned 13.0% in fiscal 2025, forecasts 15.5% for fiscal 2026 and made 18.9% in the June quarter, including about ¥25bn of one-off items. MHI does not report GTCC's profit. An analyst put it near 20% in August, and Nishio said it should keep rising as higher-margin orders reach revenue. I assume 20% for fiscal 2026.

Variant perception: what the market prices in, and where I differ

At ¥3,363 MHI is worth about ¥11.3 trillion. The shares trade at 29.7 times MHI's fiscal 2026 EPS forecast of ¥113.09 and 25.0 times the ¥134.68 consensus (stockanalysis.com, 2 November). The average target of 17 analysts is ¥5,469.

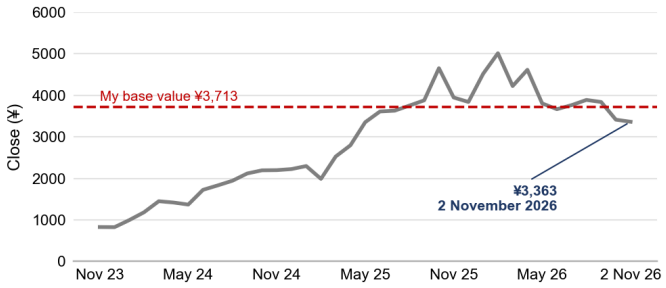
Gas turbines first, defence second. On MHI's fiscal 2026 forecast GTCC is 20% of revenue and Defense and Space 23%. On profit the order changes: at a 20% margin GTCC makes ¥220bn, 41% of the ¥540bn group forecast, against ¥170bn, 31%, for Aircraft, Defense and Space. In my sum of the parts GTCC is 46% of equity value and Aircraft, Defense and Space 29%. Defence is large and steady: orders of about ¥1.9tn in fiscal 2024, ¥1.7tn in fiscal 2025 and ¥1.5tn expected this year, and revenue rising from ¥828bn to a forecast ¥1,250bn. Aircraft, Defense and Space as a whole had ¥3.9tn on order in June.

What the price implies. With everything but GTCC at my base multiples, the price leaves about ¥4.5 trillion for GTCC, 15.9 times my fiscal 2027 estimate of its profit. With GTCC at 20 times, it leaves Aircraft, Defense and Space at 12.1 times, against a European defence median of 19.8 times trailing EV to EBIT. The market is not paying full peer multiples for both at once. That sounds like a long, and the analysts' targets say so. I differ on three points.

The cash is mostly the customers'. Net cash is ¥1,164bn, but contract liabilities rose ¥1,049bn in fifteen months, and that money will be spent building the turbines it paid for. Nishio said in August it "does not mean that it can immediately be treated as surplus funds". My profit estimates already count the margin on those orders, so I deduct the cost still to come on the rise, 80% of it, ¥839bn. Counting all net cash as surplus would give ¥3,963, up 18%. This one choice decides whether the base clears my 15% bar for a long.

The queue caps the volume. Revenue is recognised as work progresses, and the factory sets the pace; the 30% step lands in fiscal 2028. I take GTCC revenue up 18% in fiscal 2027 at a 22% margin.

MHI is choosing price over share. Ito said in May that in fiscal 2025 the makers that used the most capacity won the most share, and that MHI hopes to win back the top share as demand normalises. Its 16 GW of orders that year were roughly a sixth of the 96 GW ordered in calendar 2025, on my rough comparison of different years.



Date	What happened	Move
7 Nov 2025	1H FY2025 results	down 3.7%
2 Mar 2026	Record close ¥5,195; intraday high ¥5,208	
12 May 2026	FY2025 results; FY2026 forecast of ¥540bn business profit	down 1.9%
27 May 2026	2024 medium-term plan progress briefing	down 1.2%
4 Aug 2026	Q1 results; GTCC and defence order forecasts raised	up 7.7%
2 Nov 2026	Close ¥3,363, down 12% in 2026	

Left: MHI month-end close, November 2023 to the 2 November 2026 close, adjusted for the April 2024 split, against my base value (red). stockanalysis.com, retrieved 2 November 2026. Right: moves from the previous close to the close on each release day, as MHI releases during trading hours. I found no single company event behind the fall since March.

Valuation, with the working

I value MHI as a sum of its parts: each business at a multiple of my fiscal 2027 business profit, the year to March 2028, which the market will price as the year ahead by October 2027. I split Energy Systems into GTCC and the rest (nuclear, steam power, aero engines, compressors). I add cash and investments at book; deduct debt, minority interests, the pension liability and the cost still to come on the prepayments; and divide by 3,361m shares. GTCC grows 18% at 22%; the rest of Energy Systems 6% at 11.5%; Aircraft, Defense and Space 10% at 12%. All are my estimates.

Sum of the parts, base case

Part	FY2027E profit, ¥bn*	Multiple	Value, ¥bn	Share	Per share
GTCC (my split of Energy Systems)	286	20x	5,711	46%	¥1,699
Aircraft, Defense & Space	198	18x	3,564	29%	¥1,061
Energy Systems, rest	134	14x	1,877	15%	¥559
Plants & Infrastructure Systems	100	10x	1,000	8%	¥298
Industrial Solutions	35	10x	350	3%	¥104
Corporate costs	(90)	12x	(1,080)	(9%)	(¥321)
Net cash, investments, less minorities, pensions, prepayment cost			1,055	8%	¥314
Equity value			**12,478**	**100%**	**¥3,713**

**My estimates; brackets are negative. Multiples are EV to FY2027E business profit, set against trailing EV/EBIT (peer table): GTCC 20x, between the 18x I used for Siemens Energy's Gas Services and Siemens Energy's 26.4x; defence 18x, below the European median of 19.8x; Kawasaki Heavy 16.5x and IHI 14.2x for the other parts. Bridge: net cash ¥1,164bn, equity-method and other investments ¥856bn at book, less minorities ¥68bn, pensions ¥58bn and ¥839bn of cost on the prepayment build-up.*

Scenarios: three cases, twelve months out

Case	What happens	GTCC FY2027 profit	GTCC multiple	Others	Value	Change	Weight
Bear	World orders fall towards MHI's earlier 50 to 60 GW view; GTCC grows 8% at 19%	¥226bn	14x	3 turns lower	¥2,617	down 22%	25%
Base	GTCC grows 18% at 22%	¥286bn	20x	as above	¥3,713	up 10%	50%
Bull	Capacity step lands early; GTCC grows 25% at 24%	¥330bn	25x	2 turns higher	¥4,693	up 40%	25%
Weighted	**25 / 50 / 25**				**about ¥3,680**	**up 10%**	

GTCC starts from MHI's FY2026 revenue forecast of ¥1,100bn. The rest of MHI keeps my FY2027E profit; only its multiples move. The bear GTCC multiple is below where the market already values it; the bull multiple is still below Siemens Energy's 26.4x trailing EV/EBIT.

Sensitivity: GTCC FY2027 business profit against its multiple

GTCC profit	16x	20x	24x
¥240bn	¥3,156	¥3,442	¥3,727
¥286bn	¥3,373	**¥3,713**	¥4,053
¥330bn	¥3,585	¥3,977	¥4,370

With the rest of MHI at my base, 8 of the nine cells sit above the price, but only 3 sit 15% or more above it, and all three need a multiple of 20x or more with GTCC profit at or above my base. A long needs GTCC at about 21.8x with everything else unchanged. Under my rule a long needs the base value 15% or more above the price and a short needs it 25% or more below. At 10% above, my call is no call.

Peer landscape

Company	Ticker	Forward P/E	EV/EBIT	What they make
Mitsubishi Heavy	TSE: 7011	27.7x	20.7x	Gas turbines, nuclear, defence, space, aero engines, plants
GE Vernova	NYSE: GEV	37.2x	58.9x	Gas turbines, grid equipment, wind turbines
Siemens Energy	ETR: ENR	21.8x	26.4x	Gas turbines, grid technology, wind turbines
Rheinmetall	ETR: RHM	23.0x	26.1x	Ammunition, vehicles, air defence
BAE Systems	LON: BA	23.0x	20.4x	Combat aircraft, ships, submarines, electronics
Thales	EPA: HO	20.3x	19.1x	Defence electronics, aerospace, cyber
Leonardo	BIT: LDO	19.5x	17.0x	Helicopters, defence electronics, aerostructures
Kawasaki Heavy	TSE: 7012	14.2x	16.5x	Defence aircraft and submarines, aero engines, gas engines, motorcycles
IHI	TSE: 7013	15.5x	14.2x	Aero engines, defence engines, plants
Hitachi	TSE: 6501	21.1x	16.1x	Grid equipment, IT services, rail

Forward P/E and trailing EV/EBIT from stockanalysis.com, retrieved 2 November 2026. European defence median (Rheinmetall, BAE Systems, Thales, Leonardo): 21.7x forward P/E, 19.8x EV/EBIT. GE Vernova's 58.9x reflects earnings still recovering and is not used to set a multiple. Multiples are used only to set the ranges; no view on the peers' shares is expressed.

Catalysts

When	Event	What I watch
6 November 2026, 13:30 JST (scheduled)	1H FY2026 results	Large frame unit orders against 35 in FY2025; Energy Systems margin against 15.5%; contract liabilities
Early February 2027 (not announced)	Q3 FY2026 results	GTCC order pace; the FY2026 forecast
Around May 2027 (not announced)	FY2026 results and the 2027 medium-term plan	A date for doubling gas turbine output; capital allocation of the prepayment cash
Through FY2026	New defence production capacity	Defense & Space revenue moving towards ¥1.5tn a year of orders

Risks: what would hurt the view

Orders past the peak. MHI expects world orders to fall from 96 GW in 2025 to about 70 GW a year over the next five years; until May it expected 50 to 60 GW. If orders fall faster than capacity rises, the queue shortens and the multiple falls. That is most of the bear case.

Execution and one-offs. Fiscal 2025 carried about ¥30bn of losses on steam power projects, ¥20bn of it in South Africa, and a ¥30bn goodwill impairment. The June quarter was lifted by about ¥25bn of one-off items. Large fixed-price plants can swing a 15% margin quickly.

Capacity. The doubling has no date. If the 2027 plan pushes it beyond 2030, the queue stays long but GTCC revenue grows more slowly than my base.

Defence. Defence orders depend on Japan's budget. A change in plans, or delays to new defence production capacity, would slow the step up in revenue. Overseas work, such as the Australian frigate programme booked in fiscal 2025, carries terms MHI is less used to, as Ito said in May.

The yen. MHI assumes ¥150 to the US dollar for fiscal 2026 and expects about US$3.2bn of dollar amounts to affect business profit; its revenue rate averaged ¥157.2 in the June quarter. A stronger yen cuts the yen value of the queue without changing the queue.

The cash. If MHI treats the prepayments as surplus and returns them, my bridge is too cautious. Nishio said the 2027 plan will set out its approach to capital allocation.

What would change my mind

Into a long: a price below about ¥3,200, where my base value would sit 15% above it on unchanged estimates, or a 2027 plan that dates the doubling of gas turbine output against fiscal 2024 to fiscal 2030 or earlier. **Towards a short:** a price above about ¥4,950, where my base value would sit 25% below it.

The view is wrong if the shares close above ¥4,200 or below ¥2,500 in October 2027, or MHI books fewer than 25 large frame gas turbines in fiscal 2026 against 35 a year earlier, or Energy Systems' fiscal 2026 business profit margin lands below 14 per cent against the 15.5 per cent forecast.

Conclusion

The September piece argued that building your own power swaps the grid's queue for the turbine makers'. MHI's figures confirm it at a second maker: about five years of GTCC revenue on order, new talks for 2030 to 2031, prices not falling, and buyers paying ahead. But the queue that makes GTCC's revenue visible also paces it, and much of MHI's cash belongs to the buyers in it. My call: no call, medium conviction; base value ¥3,713, range ¥2,617 to ¥4,693.

Appendix: forecast assumptions

Assumption	FY2026	FY2027E	Basis
GTCC revenue growth	11% (forecast)	18%	Order book over ¥5tn; 30% capacity step by FY2028
GTCC business profit margin	20% (mine)	22%	Not disclosed; Energy Systems 15.5% forecast, 18.9% in Q1
Energy Systems rest	10.9% (derived)	6% at 11.5%	Nuclear revenue forecast ¥400bn
Aircraft, Defense & Space	11.3% (forecast)	10% at 12%	Revenue rising towards about ¥1.5tn of yearly defence orders
Plants, Industrial, corporate	¥90bn, ¥30bn, (¥90bn)	¥100bn, ¥35bn, (¥90bn)	Modest growth; corporate flat
Prepayment cost deducted		¥839bn	80% of the ¥1,049bn rise in contract liabilities since March 2025
Shares, m	3,360.7		Issued less treasury, 30 June 2026

Full workings, with live formulas, in the accompanying model, 2026-11-02_MitsubishiHeavy_Model.xlsx.

Sources

Mitsubishi Heavy Industries, Q1 FY2026 Financial Results presentation and Consolidated Financial Results, 4 August 2026, for segment orders, revenue and business profit, GTCC, nuclear and defence figures, the revised FY2026 forecast, the balance sheet, shares, order backlog, large frame gas turbine units and currency assumptions. MHI, Q&A Summary of the Q1 FY2026 Financial Results Briefing, dated 6 August 2026, for the remarks quoted from the finance chief. MHI, FY2025 Financial Results presentation, Consolidated Financial Results and Q&A Summary, 12 May 2026, for FY2025 results, GTCC and Defense & Space history, the gas turbine order book and remarks on share and advance payments. MHI, 2024 Medium-Term Business Plan Progress presentation and Q&A Summary, 27 May 2026, for the capacity plan and demand outlook. MHI presentations and Q&A summaries of 7 November 2025 and 4 February 2026 for unit history and earlier demand views. MHI investor relations page for the 6 November 2026 results date. GE Vernova second quarter 2026 earnings call, 22 July 2026. Share prices, consensus EPS and average target (S&P Global data) and peer multiples from stockanalysis.com, retrieved 2 November 2026. Estimates for FY2027 and the GTCC profit split are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 22 September 2026, thephysicallayer.fyi/journal/building-your-own-power; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Mitsubishi Heavy Industries. Personal research, not investment advice.

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